

local civic bodies in 1989. “We trained together,” says the nephew. A big break came in 2004 when the then Andhra Pradesh government led by Y.S. Rajasekhara Reddy unveiled the JalaYagnam project to irrigate the state’s neglected areas. Media reports then said MEIL got projects worth close to ₹37,000 crore. It later won the high-profile Kaleshwaram and Polavaram projects. (Kaleshwaram is billed as the world’s largest lift-irrigation project, while Polavaram is an irrigation project that engineers have dreamt of since 1941.) The uncle is not visible in corporate circles but is known as the man whose house on Jubilee Hills is designed to look like a giant diamond.

MEIL has several big and high-tech projects in the works: the 14-km Zoji-la tunnel under the Zoji-la (Zoji-pass) at an altitude of 11,575 feet in Jammu & Kashmir, the 213-km Rishikesh-Karanprayag tunnel in Uttarakhand, a new port in Andhra Pradesh’s Machilipatnam, a super-speciality hospital in Hyderabad, 47 rigs for ONGC, and the railway station in Mumbai’s Bandra Kurla Complex for the Mumbai-Ahmedabad bullet train (in a joint venture with Ajit Gulabchand’s Hindustan Construction Company).

34 | For an organisation of this size, Reddy runs a tight ship. MEIL had a total debt of less than ₹5,500 crore on a consolidated basis at the end of FY23 and a debt-equity ratio of 0.25. CRISIL’s report says MEIL’s order book was ₹1.87 lakh crore at the end of the quarter ended September 30, 2023. Larsen & Toubro, the big boy in the EPC business, had an order book of ₹4.7 lakh crore at the end of the quarter ended December 31, 2023, with its international business accounting for 39%. Reddy downplays his numbers and says dealing with many issues is to be expected if one is in the infrastructure business. “Be it laying a pipeline, transmission line, or discussions with farmers, this is certainly not a cakewalk. Constructing a project on an end-to-end basis is very difficult,” he tells us during our hour-and-a-half long conversation.

(The interview occurred before reports that the CBI had filed a case against MEIL for allegedly bribing officials of NISP, NMDC and MECON a total of ₹78 lakh to clear MEIL’s bills of ₹174 crore, relating to work done on a steel plant in Jagdalpur.)

A rival infrastructure player in Hyderabad says MEIL outsources large parts of its projects to sub-contractors. “That way, it reduces the working capital burden and focusses on technology. In the process, the debt component remains small,” he says. He adds that Reddy has friends across political parties and “keeps everyone happy”.

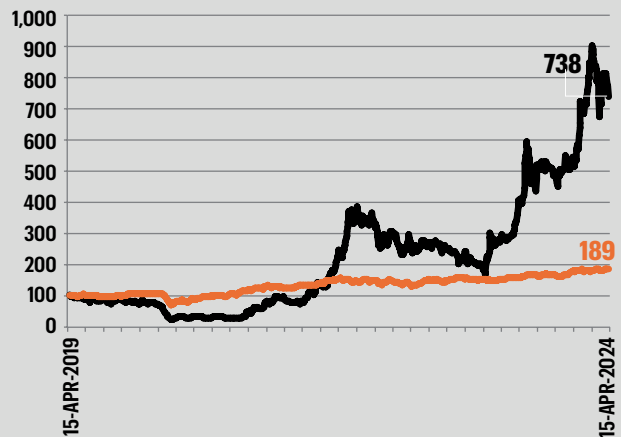
To be sure, Reddy is known for his political con-



▲ **DIVERSIFIED SPREAD** The Megha Engineering and Infrastructures office in Hyderabad’s Balanagar

LIVE WIRE

► MEIL’s acquisition of stake in Olectra has augured well for the stock price ► The investment outlay could strengthen the business



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nections across parties. Given the disproportionate number of industrialists from Andhra Pradesh and Telangana involved in infrastructure, the levels of intrigue are understandable. Be it GVK, GMR, Lanco, or Navayuga Engineering Company (which was in the news when the Silkyara tunnel in Uttarakhand, which it was building, collapsed), the list is long, and more names keep getting added.

When we ask him about his connections, Reddy pauses before answering. “Look at the Thane-Borivali tunnel project, Zoji-la or our work in refineries worldwide. Our bids have been very competitive, and